EXHIBIT 1

Standard Operating Procedures Regarding Use and Review of Retail Job Applicants' Criminal Conviction Histories - California

This document sets forth standard operating procedures to be implemented in adjudicating criminal conviction histories for retail job applicants in order to ensure compliance with California law.

(1) The Company currently conducts criminal background checks on retail job applicants after a conditional offer of employment has been made.
   a. Prior to making a conditional offer of employment, no application for employment shall include any question that seeks the disclosure of an applicant's conviction history. Reference: Cal. Gov't Code § 12952(a)(1).
   b. Prior to making a conditional offer of employment, there shall be no inquiry into or consideration of the conviction history (if any) of any applicant. Reference: Cal. Gov't Code § 12952(a)(2).

(2) While conducting a conviction history background check in connection with any application for employment, no consideration shall be afforded to any of the following:
   a. an arrest not followed by conviction;
   b. referral to or participation in a pretrial or post-trial diversion program; and
   c. convictions that have been sealed, dismissed, expunged, or statutorily eradicated pursuant to law. Reference: Cal. Gov't Code § 12952(a)(3).

(3) After a conditional offer of employment is extended, if the intent is to deny an applicant a position of employment solely or in part because of the applicant's conviction history, an individualized assessment shall be made of whether the applicant's conviction history has a direct and adverse relationship with the specific duties of the job that justify denying the applicant the position, which shall include consideration of the following:
   a. the nature and gravity of the offense(s) or conduct;
   b. the time that has passed since the conviction for a criminal offense(s) or conduct and/or completion of any related sentence; and
   c. the nature of the job held or sought. Reference: Cal. Gov't Code § 12952(c)(1)(A), subds. (i)-(iii).

(4) If, after undertaking the individualized assessment described above, a preliminary decision is made that an applicant's conviction history

disqualifies the applicant from employment, written notification shall be provided to the applicant of this preliminary decision (the "Pre-Adverse Action Letter"), which shall include the following information:

a. notice of the disqualifying conviction or convictions that are the basis for the preliminary decision to rescind the job offer;
b. a copy of the conviction history report, if any;
c. an explanation of the applicant's right to respond to the notice of the Company's preliminary decision before the decision becomes final, and the deadline by which to respond; and
d. notice that the applicant's response to the preliminary decision may include submission of evidence challenging the accuracy of the conviction history report that is the basis for rescinding the job offer, evidence of rehabilitation and evidence of mitigating circumstances, or both. Reference: Cal. Gov't Code § 12952(c)(2), subds. (A)-(C).

(5) If a final decision is made to deny an applicant employment solely or in part because of an applicant's conviction history, written notification shall be provided to the applicant (the "Adverse Action Letter") of the following:

a. the final denial or disqualification;
b. any existing procedure for the applicant to challenge the decision or request reconsideration with Company; and
c. the applicant's right to file a complaint with the Department of Fair Employment and Housing regarding the final decision. Reference: Cal. Gov't Code § 12952(c)(5), subds. (A)-(C).

The Company also will comply with applicable local laws, including local laws in the City of Los Angeles and the City of San Francisco.

Nothing in this standard operating procedures document is intended to impose obligations on the Company beyond or greater than what applicable law specifically requires.